EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Santa Ana was created by virtue of executive Order No. 289 signed by President Elpidio Quirino on October 21, 1949 which took effect on January 1, 1950.

A financial and compliance audit was conducted on the operations of the municipal government of Sta. Ana, Cagayan for the year ended December 31, 2015. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Ana for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

Particulars	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	P 227,393,339.39	P 184,885,010.09	P 42,508,329.30
Total Liabilities	62,327,907.72	54,654,430.10	7,673,477.62
Total Government Equity	165,065,431.67	130,230,579.99	34,834,851.68
Results of Operation			
Total Income	138,863,286.98	125,156,782.55	13,706,504.43
Total Expenses	101,002,843.68	90,628,716.46	10,374,127.22
Appropriations, Allotments and Obligations			
Appropriations - Current	185,894,735.29	122,191,828.65	63,702,906.64
Appropriations - Continuing	27,244,076.47	3,612,143.03	23,631,933.44
Allotments – Current	185,894,735.29	122,122,652.18	63,772,083.11
Allotments - Continuing	27,244,076.47	3,612,143.03	23,631,933.44
Obligations – Current	109,368,621.81	97,231,864.84	12,136,756.97
Obligations – Continuing	-	2,300,664.80	(2,300,664.80)

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2015 were P227,393,339.39, P62,327,907.72 and P165,065,431.67 with an increase of 23%, 14% and 27%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P138,863,286.98 and P101,002,843.68 which increased by 11% each from last year's figures.

For the year 2015, the Municipality of Sta. Ana appropriated the total amount of P185,894,735.29 of which P109,368,621.81 has been obligated as of year-end. Continuing appropriations for the year amounted to P27,244,076.47 which had a remaining balance of P27,244,076.47 as of year-end (see Annex 2).

Comparative Statement of Fund Transfers to and from Other NGAs and LGUs are as follows:

	2015	**2014**	**Increase (Decrease)**
Funds Received from Other Agencies			
Due from GOCCs	P 68,520.00	P 68,520.00	--
Due from LGUs	16,000.00	16,000.00	-
TOTAL	**P 84,520.00**	**P 84,520.00**	**-**
Funds Transferred to Other Agencies:			
Due to NGAs	P 5,669,105.08	P7,498,774.91	P (1,829,669.80)
Due to GOCCs	7,529.83	7,529.83	-
Due to LGUs	1,680,815.20	1,015,573.43	665,241.77
TOTAL	**P 7,357,450.11**	**P 8,521,878.17**	**P (1,164,428.03)**

Funds received by the Municipality from Other Agencies amounted to P84,520.00 the same with last year's figures. On the other hand, funds transferred to Other Agencies amounted to P7,357,450.11 with a decrease of P1,164,428.03 or 14% from last year's figures.

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Sta. Ana due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P91,867,191.04 as of year-end.

4. **Significant Findings and Recommendations**

Financial and Compliance Audit

a. **Cash Advances for travel of various officials and employees of the municipality amounting to P996,100.00 were not supported with complete documentation contrary to Section 4(6) of P.D. 1445 also known as the Government Auditing Code of the Philippines and COA Circular 2012-001 dated June 1, 2012, thereby casting doubt on the regularity and validity of the transactions.**

We recommended that the concerned officials implement strictly the provisions of Section 4(6) of Presidential Decree No. 1445 and COA Circular 2012-001 dated June 14, 2012 and ensure that all supporting documents are complete before effecting payment to avoid suspensions and disallowances in audit. Furthermore, require the Municipal Accountant to review the completeness of supporting documents before recording in the respective book of accounts.

b. **Disbursement vouchers of the municipality for January to August 2015 amounting to P7,471,932.30 were not supported with required supporting documents to prove their regularity and validity, in violation of COA Circular No. 2012-01 dated June 14, 2012 and Section 4(5) and (6) of PD 1445.**

We recommended that management adhere strictly with the standards of documentation of disbursement pursuant to COA Circular No. 2012-01 dated June 14, 2012 and Section 4 (5) and (6) of PD 1445. Require officials to ensure that all supporting documents are complete before effecting payment to avoid suspensions and disallowances in audit and for the Municipal Accountant to review the completeness of supporting documents before recording in the book of accounts.

c. **The Ecological Solid Waste Management Plan submitted by the municipality was not approved by the National Solid Waste Management Commission contrary with the provision of Section 5(b) of Republic Act No. 9003, also known as the Ecological Solid Waste Management Act of 2000.**

We recommended that management make representations with the approval for their Solid Waste Plan and enforce its implementation for the welfare and security of the people and for the protection of the environment.

d. **The annual GAD Plan and Budget (GPB) of the municipality was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, thus,**

identified programs, projects and activities cannot be ascertained whether it is in accordance with the Joint Circular.

We recommended that management to comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

e. The municipality paid wages amounting to P5,679,162.00 in hiring an average of Ninety Two (92) contractual, casual and job order personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

We recommended that management formulate a Policy Guideline for contractual/casual/job order employees, taking into consideration the necessity of hiring and the reasonable number of contractual/casual/job order employees to be assigned in different offices in order to avoid excessive manpower and work duplication. The policy guidelines to be formulated shall not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

f. The procurements of supplies, materials and equipment of the municipality amounting to P832,974.79 were undertaken through the Alternative Methods of Procurement instead of public bidding, contrary to Section 48 of Rule XVI of RA 9184 and reiterated under item 9.2 of COA Circular No. 2012-001, thus, casting doubt on the necessity and propriety of the transactions.

We recommended that Management strictly adhere to the Government Procurement Reform Act (R.A. 9184) and its implementing rules and regulations regarding the alternative methods of procurement together with the required documentary requirements under COA Circular No. 2012-001 dated June 24, 2012 to avoid suspension and/or disallowance in audit.

g. The procurement of the municipality for various goods and services for CY 2015 totaling to P647,918.95 were made through reimbursement basis instead of public bidding, contrary to the Revised Implementing Rules and Regulations of Republic Act No. 9184, otherwise known as the Government Procurement Reform Act.

We recommended that the procurement of goods and services should be through the different procurement methods as set forth in the Revised Implementing Rules and Regulations of the Government Procurement Reform Act, in order to adhere to the principle of transparency, accountability, equity, efficiency and economy in its procurement process.

h. The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P 91,867,191.04 as of December 31, 2015 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.

We recommended to the Local Chief Executive to create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992.

i. The amount of P1,080,980.00 appropriated for 20% development projects was not utilized resulting to the non-realization of the benefits that could have been derived thereat.

We recommended that management to direct all concerned officials to implement immediately the projects under the 20% development fund for the benefit of its constituents and other intended beneficiaries as projected and planned.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issuances	Settlements	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	3,294,058.52	2,319,073.52	974,985.00	70%
Total	-	3,294,058.52	2,319,073.52	974,985.00	70%
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Of the five (10) audit recommendations embodied in the 2015 Annual Audit Report, three (3) were fully implemented and seven (7) were not implemented as shown in Part III of this report.